



Time: 5 minutes

Outcome: Trace government purchases and taxes into aggregate demand.

Difficulty: Intermediate

Fiscal Policy and Aggregate Demand

THE CORE IDEA

Fiscal policy shifts aggregate demand through changes in government purchases, taxes, and their effects on consumption. Lower purchases and higher taxes both push aggregate demand left. After the first-round spending change, the multiplier process traces additional income-consumption rounds; crowding out can then reduce the net effect. A tax cut raises disposable income, which can increase consumption and shift AD right.

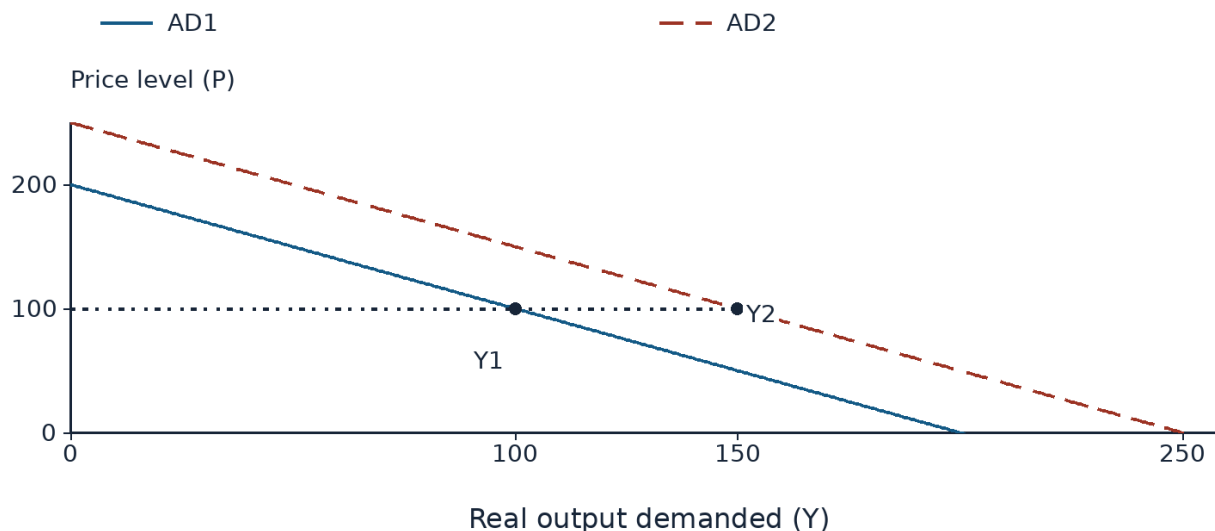
HOW TO RECOGNIZE IT

- Higher government purchases directly raise aggregate demand; lower purchases reduce it.
- Tax changes affect aggregate demand indirectly by changing disposable income and consumption.
- Expansionary fiscal policy shifts aggregate demand right; contractionary policy shifts it left.
- Distinguish a shift of aggregate demand from a movement along the curve caused by the price level.

WATCH OUT

A common mistake is to classify fiscal policy from the economy's condition rather than the government's action. Higher purchases or lower taxes are expansionary; lower purchases or higher taxes are contractionary.

WORKED EXAMPLE: SHIFTING AGGREGATE DEMAND



At the displayed price level P , higher government purchases shift aggregate demand from $AD1$ to $AD2$. Real output demanded rises from $Y1$ to $Y2$ at that fixed price level. A tax cut can also shift AD right by raising disposable income and consumption. This graph isolates the direction of the shift; the multiplier and offsets are considered separately.

CHECK YOURSELF

Why can a tax cut shift aggregate demand to the right in the short run?